Sri Lanka will sign a new bilateral infrastructure financing agreement with China within the next 18 months.

65%

PROBABILITY

Target: November 2027

Confidence: Medium

ANALYSIS

POLITICAL

Sri Lanka's political landscape has shifted significantly since the 2022 Aragalaya protests ousted the Rajapaksa family, but the structural incentives driving Colombo toward Beijing remain intact. President Dissanayake's January 2025 Beijing visit -- covered in The Diplomat's "Beyond Debt" analysis -- signals a deliberate effort to reset relations after the default. The Jamestown Foundation notes that "regardless of who is in the domestic political leadership, any Sri Lankan leader will need to work with China as a critical development partner." This is not merely ideological but practical: China remains the only creditor with the capacity and willingness to fund large-scale infrastructure without attaching political governance conditions, unlike Western institutions or India. The Rajapaksa family's potential political return -- they retain significant support bases -- would further accelerate this trajectory, as their historical ties to Chinese financing are well-documented. However, the anti-China sentiment that emerged during the protests acts as a moderating force, making any new deal politically costly and likely to be structured with more favorable terms for Sri Lanka than pre-crisis agreements. The 65% probability reflects this tension between political necessity and domestic political risk.

ECONOMIC

Sri Lanka's economic recovery remains fragile. While the IMF's $2.9 billion Extended Fund Facility and the successful debt restructuring (98% bondholder participation by late 2024) have stabilized the immediate crisis, GDP has not returned to 2018 levels. The country's fundamental structural weaknesses -- an import-dependent economy with limited manufacturing, heavy reliance on tourism and remittances, and a debt-to-GDP ratio that peaked at 119% -- mean that external financing will remain essential for years. Chinese lending, even at its post-crisis reduced levels, offers something no other source matches: scale without political conditionality. The CARI data shows Chinese loans averaged 3.2% interest versus 6.9% for Eurobonds, and while Chinese terms are less concessional than Japanese loans (0.9%), Japan's risk appetite for Sri Lankan infrastructure has been consistently low -- Japan declined to finance Hambantota Port twice. The economic logic of re-engaging with China is compelling, but Sri Lanka's post-crisis caution and the IMF's oversight framework mean any new agreement will be smaller and more carefully structured than pre-2022 deals, reducing the probability from what would otherwise be closer to 80%.

MILITARY

The military dimension reinforces the prediction but introduces significant complexity. Sri Lanka's strategic location in the Indian Ocean makes it a persistent arena for India-China competition. The docking of Chinese submarines at Colombo harbor in 2014 and China's control of Hambantota Port through the 99-year lease give Beijing enduring military-relevant infrastructure access. India has actively pushed back -- securing the Trincomalee Oil Tank Farm agreement and the West Container Terminal deal at Colombo Port -- and will view any new Chinese infrastructure investment with suspicion. However, the Hambantota lease agreement explicitly forbids use as a foreign military base, and Sri Lanka's post-crisis government has signaled a more balanced approach to both powers. The military calculus cuts both ways: China's desire for Indian Ocean strategic depth incentivizes continued investment, but India's counter-pressure and Sri Lanka's desire to avoid being caught between two giants create a ceiling on how far the relationship can deepen. The probability of a purely economic infrastructure deal (65%) is higher than one with explicit military dimensions (closer to 30%), and the prediction focuses on the economic agreement as the more likely near-term outcome.

TECHNOLOGICAL

The technological case for renewed Chinese infrastructure engagement is strong but increasingly contested. China's BRI portfolio in Sri Lanka includes technologically significant projects: the Lotus Tower (telecommunications), Colombo Port City (a planned smart financial district), and various digital infrastructure components. Post-crisis, Sri Lanka's need for digital modernization, port automation, and telecommunications upgrades creates natural opportunities for Chinese tech-linked investment. However, the global trend of technology decoupling -- particularly around Huawei, surveillance systems, and data infrastructure -- adds friction. Sri Lanka's Western creditors and India will likely push back against Chinese digital infrastructure that could give Beijing data access or surveillance capabilities. The most likely technological dimension of any new agreement would be port modernization and logistics technology at Hambantota or Colombo, where China already has operational footholds through CMPort. This is less politically sensitive than telecommunications or data infrastructure but still economically significant. The technological pull factor adds roughly 10 percentage points to the base probability but is constrained by growing geopolitical sensitivity around Chinese technology in South Asian infrastructure.